ALP CONTRACTOR CIRCLE

ALP/EOS OPERATING SYSTEM

COMPREHENSIVE ANALYSIS & FIELD GUIDE

Marshall Wilkinson | ALP

March 2026 | For ALP Contractor Circle Members

CONFIDENTIAL — FOUNDING MEMBERS ONLY

TABLE OF CONTENTS

EXECUTIVE SUMMARY

The ALP/EOS Operating System is the foundational business framework adopted by ALP Contractor Circle for all member companies. It is adapted from the Entrepreneurial Operating System® (EOS), created by Gino Wickman and detailed in his landmark book Traction (2011). The ALP implementation layers Marshall Wilkinson's two decades of construction consulting experience — representing over $2.5 billion in completed construction — directly onto the EOS framework to create a system purpose-built for contracting businesses.

This document is the definitive field guide to the ALP/EOS system. It is written for contractor business owners and their leadership teams who are implementing or studying the framework. Every component is explained in full: what it is, where the terminology comes from, why it matters, how to execute it, and what it looks like in a real contracting business.

The Central Premise

"All of your problems in your business are entrepreneurial problems and require entrepreneurial solutions — not construction solutions."

— Marshall Wilkinson, ALP

Most contractors struggle not because they are poor builders, but because they are running a business without a business operating system. They are technically excellent and operationally reactive. EOS installs the infrastructure that makes a contracting business scalable, consistent, and eventually self-managing — without the owner touching every decision.

The Six Components at a Glance

COMPONENT	CORE QUESTION	PRIMARY TOOL
1. Vision	Where are we going and how will we get there?	Vision/Traction Organizer (V/TO)
2. People	Do we have the right people in the right seats?	Accountability Chart + People Analyzer
3. Data	Are we running on facts or feelings?	Weekly Scorecard
4. Issues	Are we solving problems permanently or just talking?	IDS — Identify, Discuss, Solve
5. Process	Is the way we do things documented and followed by all?	Core Process Documentation (FBA)
6. Traction	Are we executing with discipline and accountability?	Rocks + The Meeting Pulse (L10)

PART ONE: ORIGINS & INTELLECTUAL LINEAGE

Understanding where EOS comes from is not academic exercise — it is the reason the framework works. Wickman did not invent new ideas. He synthesized, operationalized, and field-tested the best business thinking of the last 50 years into a single, coherent system. Each component has a traceable intellectual root.

1.1 Gino Wickman and the Birth of EOS

Gino Wickman spent years working in his family's real estate business, watching a successful company nearly collapse under the weight of poor leadership, misaligned people, and absent systems. After turning the business around using a collection of tools and disciplines he had assembled over years of study, he began teaching the framework to other entrepreneurial companies.

In 2007, Wickman founded EOS Worldwide. In 2011, he published Traction: Get a Grip on Your Business, which codified the framework and became one of the most widely read business books among entrepreneurial companies in the United States. EOS is now implemented in tens of thousands of companies worldwide, facilitated by a network of certified EOS Implementers.

1.2 The Intellectual Roots of EOS

Each major EOS concept draws from a specific body of established business literature:

THINKER / WORK	CORE CONTRIBUTION	WHERE IT APPEARS IN EOS
Michael Gerber — The E-Myth Revisited (1986)	Businesses must run on documented systems, not the heroics of talented individuals. Build a franchise model.	Component 5: Process — the FBA standard and core process documentation
Jim Collins — Good to Great (2001)	"First who, then what." Get the right people on the bus before deciding direction. The Hedgehog Concept: deep niche focus.	Component 2: People — Accountability Chart, right people/right seats; Component 1: Vision — Core Focus
Patrick Lencioni — The Five Dysfunctions of a Team (2002)	Teams fail through absence of trust, fear of conflict, lack of commitment, avoidance of accountability, and inattention to results.	Component 4: Issues — the IDS process and healthy conflict culture
Verne Harnish — Mastering the Rockefeller Habits (2002)	Meeting rhythms, scorecards, and priorities (Rocks) as the engine of execution in growing companies.	Component 6: Traction — Rocks, L10 Meeting Pulse, Quarterly Rhythm
Peter Drucker — The Practice of Management (1954)	Management by objectives. What gets measured gets managed. Accountability to measurable outcomes.	Component 3: Data — the Weekly Scorecard and individual number ownership

THINKER / WORK	CORE CONTRIBUTION	WHERE IT APPEARS IN EOS
Stephen Covey — First Things First (1994)	The "big rocks" illustration: prioritize the most important things first or they will never fit into your schedule.	Component 6: Traction — the origin and meaning of the term "Rocks"

1.3 Why "Traction" — The Origin of the Metaphor

Wickman deliberately chose the word Traction as the title of his book and the description of what EOS delivers. The metaphor is mechanical: traction is the grip between a tire and the road that converts engine power into forward motion. Without traction, the engine runs but the vehicle spins in place.

The Traction Metaphor Applied to Construction

In construction, you already understand traction viscerally. You know what it means when a machine has traction on a job versus when it is spinning wheels. A D9 dozer with good traction moves earth. The same machine on the wrong surface spins, burns fuel, and goes nowhere.

Most contractor businesses have powerful engines — talented people, real expertise, genuine work ethic — and no traction. The energy is there. The forward movement is not. EOS is the system that puts traction under the engine you already have.

PART TWO: THE SIX COMPONENTS IN FULL

Component 1: VISION

What It Is

Vision is the first and most foundational component of EOS. It addresses the question that most contracting businesses cannot answer coherently: Where are we going, and does everyone in the organization know how we will get there?

In most contractor businesses, the owner carries the vision entirely in their head. They know exactly where they want the company to go, what kind of work they want to pursue, what kind of company they want to build. The problem is that nobody else can see it. The superintendent, the project manager, the estimator, and the office manager are all making daily decisions without access to the strategic picture that exists only inside the owner's mind. They default to instinct, personal judgment, and the path of least resistance.

The result is a company that runs on the owner's presence rather than on shared direction. The moment the owner steps back — even briefly — decisions drift, priorities misalign, and the business loses coherence.

The Tool: V/TO — Vision/Traction Organizer

EOS operationalizes Vision through a specific document called the Vision/Traction Organizer, or V/TO. The name is deliberate: it links Vision (where you are going) with Traction (how you will get there) in a single two-page document. The V/TO answers eight fundamental questions about the business. Every leader in the organization should be able to answer all eight questions without hesitation.

Question 1: Core Values

Core Values are the 3 to 7 non-negotiable behaviors and beliefs that define how your company operates — how you treat clients, how your people behave on job sites, what you will and will not do to win a bid. They are not aspirational slogans. They are descriptions of behavior that already exists in your best people and that you are committed to protecting regardless of the business cost.

Core Values are the foundation of your hiring, firing, and performance evaluation criteria. A person who does not live your Core Values is the wrong person for your company regardless of their technical skill. A person who lives your Core Values and is in the wrong seat can be moved. A person who does not live your Core Values and is in the right seat is a cultural cancer.

Construction Example — Core Values

- Safety first, no excuses — not as a compliance requirement, but as a genuine belief that no project outcome justifies putting a person at risk
- We finish what we start — the commitment that you do not abandon a project, a client, or a promise regardless of whether it is profitable to continue
- Honest bid, honest invoice — no hidden costs, no scope manipulation, no change order abuse
- Family business, family values — a commitment to treating employees, subcontractors, and clients as relationships, not transactions

Question 2: Core Focus

Core Focus defines what your company exists to do and, critically, what it does exclusively. It has two parts: your Purpose, Cause, or Passion — why the company exists beyond making money — and your Niche — the specific type of work, client, and geography that your company serves.

The discipline of Core Focus is one of the most difficult in EOS for contractors to embrace, because contractors tend to be opportunistic. They pursue work that falls outside their niche because it is available, because the relationship is there, or because they do not want to turn down revenue. The consequence is margin erosion, operational stress, and mediocre execution in work that your company was not designed to perform.

Construction Example — Core Focus

Purpose: *"To build the communities we live in."*

Niche: Ground-up commercial construction, $2M–$15M projects, Southeast Texas only. We do not pursue residential, we do not pursue industrial, and we do not pursue work outside our geography regardless of the relationship.

Question 3: 10-Year Target

The 10-Year Target is your Big Hairy Audacious Goal — a specific, measurable destination that is distant enough to require fundamental change in how the company operates. It is not a revenue goal arbitrarily inflated. It is a statement of what the company will have become in 10 years if it executes the Vision with discipline.

For a contracting business, the 10-Year Target might be a revenue figure, a market position, a geographic footprint, or a combination. The key attribute is specificity. "We want to be the best GC in our market" is not a 10-Year Target. "$100M in annual revenue with top-3 market position in the Houston metro" is.

Question 4: Marketing Strategy

The Marketing Strategy in the V/TO has four components: your Target Market (the specific profile of your ideal client), your Three Uniques (the three things your company does or offers that no competitor can honestly claim), your Proven Process (the documented steps by which you deliver your service), and your Guarantee (what you promise clients that demonstrates confidence in your process).

For contractors, the Three Uniques exercise is often transformative. Most contractors compete on price because they have never clearly articulated what makes them different. When you can state — clearly, specifically, and honestly — three things that distinguish your company from every other GC in your market, you shift from price competition to value differentiation.

Question 5: 3-Year Picture

The 3-Year Picture is a vivid, specific description of what the business looks like three years from today if you execute the Vision with discipline. It is written in the present tense as if you are already there. It includes specific revenue, specific employee count, specific capabilities, specific market position, and any other measurable attributes that define what "success in three years" looks like for your company.

Construction Example — 3-Year Picture

- $40M in annual revenue
- Four full-time Project Managers, each managing a maximum of two jobs
- Self-performing concrete and structural framing — no longer subcontracting these trades
- $25M single-project bonding capacity
- Office established in Beaumont in addition to Houston headquarters
- Procore deployed across 100% of active projects
- EMR at 0.8 or below for the preceding three years

Question 6: 1-Year Plan

The 1-Year Plan is a set of 3 to 7 specific, measurable goals for the current calendar or fiscal year. Not 15 goals. Not 25 priorities. Three to seven. The discipline of the 1-Year Plan is the discipline of choosing. Every company has 50 things it could work on. The 1-Year Plan forces the leadership team to identify the seven that matter most this year and commit to those exclusively.

Question 7: Quarterly Rocks

Quarterly Rocks are addressed in full in Component 6: Traction. They represent the 3 to 7 highest priorities for the current 90-day period, drawn from the 1-Year Plan. They are set at the Quarterly Planning session and reviewed weekly in the L10 meeting.

Question 8: Issues List

The Issues List is the parking lot for everything standing between the company and its Vision. It is not a to-do list. It is a list of obstacles, problems, and questions that need to be resolved. Issues are addressed through the IDS process covered in Component 4.

Why Vision Matters — The Business Case

Research across thousands of EOS companies consistently shows that Vision alignment — the degree to which every leader in the company can articulate the V/TO — is the single strongest predictor of organizational performance. Companies where every leader scores above 80% on Vision alignment grow at significantly higher rates than those where only the owner knows the direction.

For contractors specifically, Vision alignment solves three endemic problems: the owner dependency bottleneck (nobody makes decisions without the owner because nobody knows the direction), the culture drift problem (values erode over time because they were never written down and enforced), and the strategic opportunity cost (time and resources are consumed by work and relationships that are outside the Core Focus).

Component 2: PEOPLE

What It Is

The People component addresses the most fundamental lever of business performance: whether you have the right human beings in the right roles. EOS codifies this as two connected tools — the Accountability Chart and the People Analyzer — used together to evaluate every person in the organization.

The core insight of this component, drawn from Jim Collins's research in Good to Great, is that the who question precedes the what question. You cannot build a great strategy and then find people to execute it. You must first assemble the right people, and then determine direction together. In the context of a contracting business, this means that leadership team composition is more important than any single strategic initiative.

The Tool: The Accountability Chart

The Accountability Chart is the most misunderstood tool in EOS, because it is superficially similar to an organizational chart. It is not an org chart. An org chart maps reporting lines and hierarchy. The Accountability Chart maps seats — defined roles with specific accountabilities — and then assigns people to seats.

The distinction matters for one critical reason: the seat exists independent of the person. When you define a seat by its accountabilities before you put a name in it, you create an objective standard against which any person in that seat can be evaluated. When a person leaves, the seat definition does not change — you hire for the seat, not the person. This discipline alone prevents one of the most common organizational failures in growing contracting businesses: defining roles around the people you happen to have rather than around what the business actually needs.

The Five Seats of a Growing Contracting Business

While every company's Accountability Chart is unique, a $10M–$30M commercial general contractor typically has the following structure of key seats:

SEAT	ACCOUNTABLE FOR	REPORTS TO
Visionary	Company culture, key client relationships, major business development, strategic vision, and new ideas. The ultimate owner of the V/TO.	Nobody (or Board)
Integrator	Day-to-day operations of the entire company, P&L ownership, holding the leadership team accountable, resolving cross-functional issues, and ensuring the Visionary's vision is executed.	Visionary
Sales & Estimating Leader	New business pipeline, bid volume and quality, win rate, client relationships, and revenue forecasting.	Integrator

SEAT	ACCOUNTABLE FOR	REPORTS TO
Operations Leader	All field execution, project delivery quality, schedule performance, superintendent management, subcontractor performance, and safety outcomes.	Integrator
Finance Leader	Job cost accounting, AR/AP, cash flow management, bonding relationships, insurance, and monthly financial reporting.	Integrator
People Leader	Hiring, onboarding, retention, performance management, compensation, benefits, subcontractor compliance, and safety program administration.	Integrator

The Visionary / Integrator Dynamic

The most important relationship in any EOS company — and the most frequently absent in contractor businesses — is the Visionary/Integrator dynamic. Understanding this dynamic is essential to breaking the owner-dependency ceiling that prevents most contracting businesses from scaling beyond $10M–$15M.

Visionary vs. Integrator — The Distinction

THE VISIONARY

The Visionary is typically the founder or primary owner. Their natural strengths are in winning work, building relationships, creating culture, generating ideas, and seeing around corners. They are energized by possibility and new opportunity. They are often bored by or poor at detail, follow-through, process, and managing people on a daily basis. This is not a character flaw — it is a cognitive profile that correlates strongly with entrepreneurial success.

THE INTEGRATOR

The Integrator is the person who runs the day-to-day business. Their strengths are in execution, accountability, process, follow-through, and resolving conflict. They make the Visionary's ideas real. They hold the leadership team accountable to the scorecard, the rocks, and the commitments made in the L10. They own the P&L on a daily basis. A strong Integrator is the single most valuable hire a Visionary contractor can make.

The Tool: The People Analyzer

The People Analyzer is the evaluation framework used to assess whether each person in the organization is the right person in the right seat. It has two components: Core Values fit and GWC™.

Core Values Fit

Every person is rated against every Core Value using a three-point scale: + (consistently lives the value), +/− (sometimes lives it, sometimes does not), or − (consistently does not live it). A person must be rated + or +/− on every Core Value to be considered the right person for the organization. A single − on any Core Value is a disqualifier regardless of technical ability, tenure, or relationship.

GWC™ — Get It, Want It, Capacity to Do It

GWC evaluates whether a person is in the right seat — the seat they currently occupy — regardless of whether they are the right person for the organization overall.

- **Get It** — Does this person instinctively understand what the role requires? Do they grasp the purpose, the priorities, and the standard of the seat without needing to be told repeatedly? Getting it is a cognitive and experiential fit, not just intelligence.
- **Want It** — Does this person genuinely desire to be in this seat? Do they show up energized by the work? Are they motivated by the accountabilities of this role? Want it is about intrinsic motivation, not just willingness to comply.
- **Capacity to Do It** — Does this person have the time, the skills, and the emotional bandwidth to perform at the level the seat requires? Capacity can be limited by over-seating (too many responsibilities), by skill gaps, or by life circumstances that limit availability.

Construction Example — The People Analyzer in Practice

Scenario: Your best superintendent.

Core Values: Safety first (+). We finish what we start (+). Honest bid, honest invoice (+/−). Family values (+).

GWC: Gets the superintendent role? Yes (+). Wants it? Yes (+). Capacity? No (−). He is currently responsible for four active jobs simultaneously while you have repeatedly asked him to mentor your two junior superintendents.

Conclusion: *He is not failing because he is the wrong person. He is failing because he is over-seated. The solution is not to replace him — it is to right-size his workload. This distinction, made visible by the People Analyzer, prevents the loss of one of your best employees to a management failure that looks like a performance failure.*

Component 3: DATA

What It Is

The Data component installs a discipline of measurement into the organization — specifically, a discipline of measuring the right things in the right way at the right frequency. EOS implements this through a single primary tool: the Weekly Scorecard.

The fundamental problem the Data component solves is one that nearly every contracting business has: management by lagging indicators. Most contractors run their businesses by looking at last month's P&L, last quarter's revenue, and the current job cost report after the job has reached substantial completion. All of these are lagging indicators — measures of what has already happened, which you can no longer change. By the time you see the problem in the data, you have already paid the price.

Leading vs. Lagging Indicators — The Critical Distinction

EOS requires that your Scorecard be built on leading indicators — measures of activity and condition that predict future outcomes before those outcomes have materialized. Leading indicators give you the ability to see problems coming and intervene before the cost is incurred.

LAGGING INDICATOR (Reactive)	LEADING INDICATOR (Predictive)
Last month's gross margin	Job cost variance reported weekly on every active project
Annual revenue vs. plan	Bids submitted per week and bid-to-award ratio (rolling 12 weeks)
Year-end accounts receivable aging	AR over 60 days reviewed every week
Recordable incident rate (annual)	Toolbox talks completed (weekly) and near-misses reported (weekly)
Annual subcontractor performance review	Subcontractor schedule compliance reviewed on every active job weekly
Final job profitability report	Percentage complete vs. percentage billed reviewed weekly

The Tool: The Weekly Scorecard

The Weekly Scorecard is a single-page document listing 5 to 15 leading indicators, each with a specific weekly goal and a single named owner. It is reviewed at the beginning of every L10 meeting. Each number is reported as either on goal (green) or below goal (red). No narrative. No context. No editorializing. Red or green.

The discipline of red/green reporting without narrative is deliberate and uncomfortable for most leadership teams. The instinct is to explain: the number is red because of circumstances outside our control, because the week was unusual, because the data was hard to collect. EOS removes the explanation from the Scorecard review. If a number is red, it goes on the Issues List. The explanation happens in IDS — not in the Scorecard review. This separation keeps the review fast and keeps accountability clear.

Construction Scorecard — Example ($15M Commercial GC)

METRIC	WEEKLY GOAL	OWNER
Bids submitted	3 per week	Sr. Estimator
Bid-to-award ratio (rolling 12-week)	25% or above	Sales & Est. Leader
Active jobs on schedule (% of total)	90% or above	Operations Leader
RFIs outstanding more than 5 business days	Zero	PM Team Lead
Pay applications submitted (eligible jobs)	100% of eligible	Controller
Accounts receivable over 60 days	Below $50,000	Controller
Recordable safety incidents (rolling 12 weeks)	Zero	Safety Officer
Subcontractor insurance certificates current	100% of active subs	Admin / PM Support
New qualified prospects contacted	5 per week	Visionary / BD
Job cost variance flagged jobs	Zero	Controller

The Rule: Three Weeks Red = Issue

Any Scorecard number that is reported red for three consecutive weeks automatically becomes an Issue on the Company Issues List and is addressed through the IDS process in the following L10 meeting. This rule prevents the most common failure of scorecards in organizations: the normalization of underperformance. When red numbers are allowed to remain red week after week with explanations but no solutions, the Scorecard loses its power and accountability erodes.

Component 4: ISSUES

What It Is

The Issues component is the mechanism by which your organization converts problems into permanent solutions. Most organizations have no shortage of issues — they have a shortage of resolution. Problems are identified, discussed in meetings, assigned informally, and then resurface the following month in a slightly different form. The root causes are never addressed because the conversation always stays at the symptom level.

EOS structures problem-solving around a process called IDS — Identify, Discuss, Solve. It is deceptively simple. The discipline required to execute it correctly is significant.

The Intellectual Origin — Patrick Lencioni

The Issues component draws its intellectual foundation from Patrick Lencioni's research on team dysfunction, particularly his work in The Five Dysfunctions of a Team (2002). Lencioni identified that the two most common failure modes of leadership teams in problem-solving are:

- **False Harmony** — The team avoids surfacing real problems because raising issues feels like creating conflict, questioning someone's competence, or damaging relationships. Problems fester beneath a surface of artificial agreement until they become crises.
- **Circular Drama** — The team discusses problems extensively, with passion and often with blame, but never lands on a decision or creates a durable solution. The same issues appear in meeting after meeting across months or years.

IDS breaks both patterns by providing a structured, time-limited framework for moving from problem identification to permanent resolution.

The Tool: IDS — Identify, Discuss, Solve

Step 1: Identify — State the Real Issue, Not the Symptom

The Identify step is the most intellectually demanding step in IDS. Most issues presented in leadership meetings are symptoms, not root causes. The discipline of Identify requires the team to push past the symptom to the underlying structural, process, or people problem that is generating it.

A useful diagnostic question for the Identify step is: "If we solve this issue permanently today, could the problem we just described ever come back?" If the answer is yes, you have not yet identified the real issue. You have identified a symptom.

SYMPTOM (What Gets Presented)	REAL ISSUE (Root Cause)
"The superintendent on Job 14 is not communicating with the owner."	There is no defined standard or documented process for weekly owner updates. The superintendent is not failing to follow a process — the process does not exist.
"We keep losing bids to XYZ Contractor."	Our estimating markup structure does not account for current material cost escalation. We are pricing work at margins that were viable two years ago.
"Subcontractors are not showing up when they commit to a start date."	Our subcontracts contain no mobilization penalty clause. There is no contractual consequence for failing to mobilize on the agreed date.
"We are always chasing retainage six months after project completion."	The project closeout process has no defined owner, no deadline structure, and no checklist. Closeout is treated as informal rather than as a defined process with accountability.
"The project manager cannot read a CPM schedule."	There is no defined competency standard for the PM role and no structured onboarding or training process. We hire PMs and assume they arrive with the skills the role requires.
"We lost money on that project."	Job cost is not reviewed during the project — only after. There is no process for weekly cost variance reporting that would allow intervention before the job is in trouble.

Step 2: Discuss — Open, Honest, and Brief

Once the real issue is identified, the Discuss step opens the floor for all perspectives. Every member of the leadership team has the opportunity to share their view of the issue, their experience with it, and any information that is relevant to solving it. The conversation is honest — no sacred cows, no protected relationships, no topics that are off limits. The conversation is also brief — the goal of Discuss is to ensure that all relevant information is on the table, not to reach consensus through exhaustive deliberation.

The Discuss step is where healthy organizational conflict lives. Lencioni's research shows that teams that can engage in passionate, honest debate about real issues — without taking it personally — consistently outperform teams that maintain surface-level harmony. The IDS structure makes this kind of conflict productive rather than destructive by keeping it focused on the issue rather than on individuals.

Step 3: Solve — Land on a Conclusion and Remove It

The Solve step requires the team to land on a specific conclusion: a decision, a To-Do assigned to a specific person with a specific completion date, or a Rock added to the following quarter's priorities. Once a solution is determined, the issue is removed from the Issues List permanently. It does not return. If the issue reappears in a different form, it is treated as a new issue — not as evidence that the previous solution was inadequate.

The permanent removal of solved issues is one of the cultural changes that EOS companies find most impactful. Most organizations have issues that have been on the agenda for years. The normalization of unresolved issues destroys accountability and erodes the team's confidence that meetings produce anything of value. IDS restores that confidence by creating a culture of closure.

The Issues List — Three Levels

Issues in an EOS company are maintained on three separate lists, each serving a different purpose:

- **Company Issues List** — Strategic and cross-functional issues owned by the leadership team. These are addressed during the IDS segment of the weekly L10 meeting.
- **Departmental Issues Lists** — Tactical and functional issues owned within a department. These are addressed in departmental L10 meetings.
- **V/TO Issues List** — Longer-term strategic questions and obstacles that are not yet ready for IDS but need to be captured. These are reviewed during Quarterly Planning sessions.

Component 5: PROCESS

What It Is

The Process component installs systematic, documented, consistently followed ways of doing things across the business. In EOS terminology, the standard is called FBA — Followed By All. It is not sufficient to document processes if they are only followed by your best people. A process that your top performer follows and your average performer ignores is not an organizational process — it is a personal habit belonging to one employee.

The intellectual foundation for this component is Michael Gerber's E-Myth argument: that the fatal assumption of the owner-operator is that because they understand the technical work of the business, they understand how to run a business that does that work. The construction equivalent is the contractor who became an outstanding superintendent and then built a company staffed with people trying to approximate what he does intuitively — with no documented standard to guide them.

The Franchise Model Mindset

Gerber's framework asks a provocative question: could your business be replicated? Not replicated by you — replicated by a reasonably competent person following your documented processes. If the answer is no, then your business is entirely dependent on the specific human beings who happen to work there today. That dependency is the single greatest risk to the long-term value of the business.

The franchise model mindset does not mean your business becomes impersonal or standardized in ways that undermine quality. It means that the processes that produce your quality outcomes are documented, understood, and followed consistently — so that quality is a function of the system, not of the individual.

The 20/80 Rule of Documentation

EOS is explicit about the appropriate level of process documentation: you only need 20% of the detail to capture 80% of the value. A three-page process document that your entire team will read, understand, and follow is dramatically more valuable than a 30-page manual that sits unread in a shared drive. The goal is a high-level document that answers three questions: What are the major steps? Who owns each step? What is the expected standard at each step?

The Core Processes of a General Contractor

A typical commercial general contractor has between 6 and 10 core processes that define how the business operates. These are the processes that, if executed consistently by every relevant person in the organization, would produce excellent outcomes on every project without the owner having to personally supervise each one.

#	CORE PROCESS	KEY STEPS & STANDARDS
1	Sales & Estimating Process	Lead qualification → Bid/no-bid decision → Scope development → Subcontractor solicitation → Estimate assembly → Proposal delivery → Follow-up cadence → Contract negotiation → Award notification
2	Preconstruction Process	Contract review → Schedule of values development → Permit application → Subcontractor buyout → Submittal log creation → Preliminary schedule development → Owner preconstruction meeting → Mobilization checklist completion
3	Project Execution Process	Weekly owner meeting (standard agenda) → Weekly look-ahead schedule → RFI/submittal log review → Monthly pay application → Monthly owner schedule update → Four-week look-ahead → Quality inspection checkpoints → Change order management protocol
4	Safety Process	New employee orientation → Site-specific safety plan → Daily pre-task planning → Weekly toolbox talk → Near-miss reporting → Incident investigation protocol → OSHA recordkeeping → Monthly safety audit
5	Billing & Collections Process	Monthly schedule of values review → Pay application preparation → Submission deadline → Owner approval follow-up → Retainage tracking → AR aging review → Collections escalation → Lien rights management
6	Project Closeout Process	Substantial completion checklist → Punch list documentation → Owner walk → Certificate of occupancy → As-built drawing submission → Operation and maintenance manual assembly → Warranty letter → Final retainage request → Project file archiving
7	People & HR Process	Job description maintenance → Interview process → Offer letter → Onboarding checklist → 90-day review → Annual performance review → Compensation review → Discipline and termination protocol
8	Subcontractor Management Process	Qualification application → Insurance and license verification → Invitation to bid → Subcontract execution → Mobilization confirmation → Weekly performance evaluation → Pay-when-paid administration → Dispute resolution

FBA — The Standard That Makes Process Real

Documentation without enforcement is theater. The FBA standard requires that once a process is documented and approved by the leadership team, adherence to it becomes a non-negotiable expectation of employment. Deviation from a documented process is a performance issue — not because the process is perfect, but because an organization where people follow processes when they agree with them and skip them when they do not is not an organization with processes. It is an organization with suggestions.

Processes are revised through the Issues List when they are found to be inadequate. The revision process is formal: identify the problem, solve it at the leadership team level, update the document, retrain the team. This structure prevents both the rigidity of processes that never evolve and the chaos of processes that individuals modify unilaterally.

Component 6: TRACTION

What It Is

Traction is the component that turns Vision, People, Data, Issues, and Process from good intentions into consistent execution. It answers the question: are we actually doing the things we said we would do, at the standard we committed to, in the time we agreed to? Traction is delivered through two tools: Rocks and the Meeting Pulse.

Tool 1: Rocks — The Origin of the Term

The word "Rocks" in EOS is a direct reference to the teaching of Stephen Covey, specifically his illustration from First Things First (1994). In the illustration, a professor fills a jar with large rocks and asks the class if the jar is full. The class says yes. The professor then pours gravel into the jar, filling the spaces between the rocks. Full now? The class says yes. The professor then pours sand into the jar, filling the spaces between the gravel. He then adds water. The jar accommodates all of it.

The lesson: if you had started with the sand and gravel, the big rocks would never have fit. The big rocks — the most important priorities — must go in first. Everything else fills in around them.

> **The Rocks Metaphor Applied to Construction**
>
> If you fill your week with daily job site fires, subcontractor calls, bid chasing, and client meetings, you will never find time to hire the operations leader you need, implement the project management software you have been planning to deploy, or work on the estimating process that has been costing you margin.
>
> **Rocks protect the time required to work on the business rather than in it. They make your most important quarterly priorities visible, accountable, and protected from the urgency of the day-to-day.**

How Rocks Work

At the beginning of each quarter, during the Quarterly Planning session, the leadership team identifies the 3 to 7 most important priorities for the company for the coming 90 days. These become the Company Rocks. Each leader then sets their own 3 to 7 individual Rocks that align with and support the Company Rocks.

Every Rock must meet four criteria:

1. **Single Owner** — One person is accountable for the Rock. Not a team, not a department — one named individual.

2. **Specific and Measurable** — The completion of the Rock must be verifiable. "Improve estimating" is not a Rock. "Complete Procore deployment on all eight active projects and train all PMs to baseline competency" is a Rock.
3. **90-Day Horizon** — Rocks are set for the current quarter only. If it takes longer than 90 days, it is either too large (break it into phases) or it is not actually a quarterly priority.
4. **Due Date = Last Day of Quarter** — All Rocks are due on the last day of the current quarter. This creates a shared deadline rhythm across the entire leadership team.

Construction Rock Examples — Q1

ROCK	OWNER	STATUS CHECK
Increase single-project bonding capacity to $20M — complete application, submit financial package, receive confirmation from surety.	Owner / Controller	On Track / Off Track
Complete comprehensive safety manual update and conduct all-hands safety training on all active projects.	Safety Officer	On Track / Off Track
Hire, select, and complete full onboarding of Project Manager #3, including 90-day plan.	Integrator / HR	On Track / Off Track
Win first public sector (municipality or school district) project with contract executed.	Sr. Estimator / Visionary	On Track / Off Track
Implement weekly job cost variance reporting on all active projects with Controller leading.	Controller	On Track / Off Track
Resolve subcontractor non-performance issue on Job 22 — documented, negotiated, and replaced.	Operations Leader	On Track / Off Track
Complete Procore deployment on all active projects with PM training verified.	PM Team Lead / IT	On Track / Off Track

Tool 2: The Meeting Pulse — The L10

The Meeting Pulse is the engine that drives Traction. It is a structured rhythm of meetings at defined frequencies with fixed agendas. The primary meeting in the pulse is the Level 10 Meeting, or L10 — held weekly, 90 minutes, with the same agenda every time.

The Origin of "L10" — Level 10 Meeting

The name Level 10 Meeting comes from the rating system built into the meeting's closing segment. At the end of every L10, each participant rates the meeting on a scale of 1 to 10 for productivity, focus, and value. The target average rating is 8 or above. The name Level 10 expresses the aspiration: every meeting should be a 10.

Meetings rated below 8 are treated as Issues. The team identifies what specifically made the meeting less productive and addresses it through IDS. This structure prevents the most common meeting problem: the same ineffective format repeated week after week with diminishing engagement and no corrective action.

The L10 Agenda — Fixed, Every Week

The L10 agenda does not change from week to week. The fixed nature of the agenda is a feature, not a limitation. It removes the overhead of agenda preparation, ensures that the highest-value activities are protected every week, and creates a muscle memory of meeting discipline across the leadership team.

SEGMENT	TIME	PURPOSE AND STANDARDS
Segue	5 minutes	Each person shares one personal and one professional good news item. This is not small talk — it is a deliberate investment in team cohesion. Research shows that teams with strong personal relationships make better decisions and surface problems more honestly.
Scorecard Review	5 minutes	Each number on the Scorecard is reported as red or green. Off-track numbers are dropped to the Issues List without discussion. The discussion happens in IDS — not here.
Rock Review	5 minutes	Each Rock is reported as on track or off track. Off-track Rocks are dropped to the Issues List. No status reports or explanations — on track or off track.
Customer / Employee Headlines	5 minutes	Brief good-news or bad-news items about customers or employees. If a headline has an associated issue, it is dropped to the Issues List for IDS.
To-Do List Review	5 minutes	Every To-Do from the previous week is reported as done or not done. The organizational standard for To-Do completion is 90% or above. Below 90% is itself an Issue. To-Dos are 7-day actions — they are not Rocks and they are not ongoing responsibilities.
IDS — Identify, Discuss, Solve	60 minutes	The team works through the Issues List in priority order using the IDS process. The Issues List is prioritized at the start of this segment by team vote. The most important issues are addressed first. This segment is the reason the meeting exists.
Conclude	5 minutes	Recap all To-Dos created during the meeting. Confirm that every To-Do has a single owner and a one-week deadline. Rate the meeting 1–10. Identify any cascading messages that need to be communicated to the broader organization.

The Quarterly Planning Session

Every 90 days, the leadership team meets for one to two days to review the previous quarter, set the Rocks for the coming quarter, and update the V/TO. The Quarterly Planning session follows a structured agenda:

5. Good news review — what went well in the past quarter

6. V/TO review — confirm that Core Values, Core Focus, 10-Year Target, and Marketing Strategy are still accurate
7. 3-Year Picture review — are you on track? Does it need updating?
8. 1-Year Plan review — are you on track for each annual goal?
9. Previous quarter Rocks review — which were completed? Which were not? Why?
10. Issues list review — what are the top issues facing the company?
11. IDS on the most important issues
12. New Rocks setting — what are the 3–7 most important priorities for the coming quarter?
13. Next steps and communication plan

The Annual Planning Session

Once a year, the leadership team meets for two days to conduct a comprehensive review of the entire V/TO. This session updates the 3-Year Picture, sets the 1-Year Plan for the coming year, and identifies the Rocks for Q1. It is also the moment to assess the People component honestly — is every seat occupied by the right person? Are there changes to the Accountability Chart that the coming year requires?

PART THREE: IMPLEMENTATION — HOW TO EXECUTE ALP/EOS

3.1 The ALP Proven Process

EOS is not a seminar. It is not a concept you read about and then apply informally. It is an operating system that is installed in the organization through a structured process that takes 12 to 24 months to fully embed. The results, however, are felt within the first 90 days.

The Implementation Phases

PHASE	ACTIVITY	OUTCOME
Focus Day	The leadership team meets for a full day to learn the six components, assess the current state of the business against each component, and build the initial Accountability Chart and Issues List.	Shared language established. Initial Accountability Chart complete. Top 10 Issues identified.
Vision Building Day 1	The leadership team works through the first four questions of the V/TO: Core Values, Core Focus, 10-Year Target, and Marketing Strategy.	Core Values defined. Core Focus articulated. 10-Year Target set. Marketing Strategy drafted.
Vision Building Day 2	The leadership team completes the V/TO: 3-Year Picture, 1-Year Plan, Quarterly Rocks, and Issues List. The Scorecard is designed. The L10 format is established.	V/TO complete. First Scorecard designed. First set of Rocks established. First L10 scheduled.
Quarterly Pulsing (ongoing)	Every 90 days, the leadership team meets to review the previous quarter, solve the highest-priority issues, and set Rocks for the coming quarter.	Consistent execution. Quarterly improvement cycle established.
Annual Planning (ongoing)	Once per year, the leadership team spends two days on a comprehensive V/TO review and annual planning session.	Long-term vision updated. 1-Year Plan refreshed. Organization aligned for the coming year.
Weekly L10 (ongoing)	Every week, the leadership team meets for 90 minutes following the L10 agenda.	Accountability maintained. Issues resolved. Execution sustained.

3.2 Your 90-Day Quick Start

For ALP Contractor Circle members, the recommended approach to beginning the ALP/EOS implementation is a structured 90-day quick start:

Month 1: Foundation

- Every member of your leadership team reads Traction by Gino Wickman — not as optional background reading, but as required preparation
- Conduct a half-day leadership team session to draft your Core Values — this must be a collaborative process, not a directive from the owner
- Build your first Accountability Chart: define the seats first, then assign names to seats
- Identify your top 5 company Issues and add them to the Issues List
- Schedule your first L10 meeting

Month 2: Tools Installation

- Complete the V/TO through the 3-Year Picture — even a rough version creates massive organizational clarity
- Design your first Scorecard — begin with 5 numbers and add over time
- Run your first L10 meeting using the fixed agenda — expect discomfort in the first 3 to 4 sessions
- Begin identifying your 6 to 10 core processes and assigning owners to document them

Month 3: Rhythm

- Set your first official Rocks for the quarter
- Run your first Quarterly Planning session
- Complete at least 3 core process documents to FBA standard
- Conduct your first full People Analyzer review of the leadership team

3.3 The Most Common Implementation Failures

Based on the experience of thousands of EOS implementations, the following are the most common reasons companies do not achieve the results the system is designed to produce:

FAILURE MODE	DESCRIPTION	PREVENTION
Inconsistent Meeting Pulse	The L10 is cancelled when the business gets busy — which is precisely when it is most needed. Missing even two or three consecutive meetings allows accountability to collapse.	Protect the L10 as a non-negotiable. It is not optional when the schedule is full. It is essential because the schedule is full.
Scorecard Without Accountability	Numbers are reported red for months without becoming Issues and without consequence. The Scorecard becomes a reporting exercise rather than an accountability tool.	Enforce the three-weeks-red rule without exception. Red numbers become Issues. Issues get solved.
V/TO as a Document, Not a Tool	The V/TO is created in a planning session and then stored in a shared drive, never revisited. Leaders	Review the V/TO at every Quarterly Planning session. Print it.

FAILURE MODE	DESCRIPTION	PREVENTION
	cannot recall the Core Values or the 3-Year Picture without looking them up.	Post it. The V/TO is a living document, not an artifact.
Rocks Without Consequence	Rocks are set each quarter and then reported on track or off track without consequence for rocks that are consistently off track. The quarterly rhythm loses its teeth.	Off-track Rocks become Issues immediately. The team investigates why the Rock is off track and solves the obstacle. Completing Rocks is a performance standard.
Symptom-Level IDS	The team skips the Identify step and jumps to solutions for symptoms rather than root causes. The same issues return quarter after quarter in slightly different forms.	Invest the time in the Identify step. Ask "what is the real issue?" until the team reaches a root cause that, if solved, could not generate the same symptom again.
Leadership Team Misalignment	One or more members of the leadership team are passive-resistors of the EOS process — attending L10 meetings but not engaging, setting Rocks but not completing them, or reporting numbers without accountability.	This is a People issue. Address it through the People Analyzer. An EOS company requires every leadership team member to be fully committed to the process.

PART FOUR: ALP/EOS IN CONSTRUCTION — SPECIFIC APPLICATIONS

4.1 The Three Failure Modes EOS Solves in Construction

Based on Marshall Wilkinson's experience across more than $2.5 billion in construction consulting engagements, the same three fundamental failure modes appear repeatedly in contractor businesses that underperform their potential. The ALP/EOS system is specifically designed to resolve all three.

Failure Mode 1: Owner Dependency

The single most common growth constraint in contracting businesses is the owner who is simultaneously the Visionary, the Integrator, the Sales Leader, the Operations Leader, and the primary decision-maker on every significant issue. This owner is not failing — they are often the most talented person in the company. But the business has a ceiling defined by the number of hours in their day.

EOS resolves owner dependency through the Accountability Chart (making the over-seating visible), the Visionary/Integrator distinction (naming the dynamic and providing a path to delegate execution), and the V/TO (externalizing the vision so others can make decisions aligned with it without requiring the owner's presence in every conversation).

Failure Mode 2: Feast or Famine Pipeline

The second failure mode is the oscillating revenue cycle: strong years followed by lean years, driven by the absence of a systematic approach to business development. Most contractors pursue work reactively — responding to relationships, following leads from existing clients, bidding on whatever is available when their backlog gets thin. There is no system, no scorecard, no defined target market, and no consistent activity that produces predictable results.

EOS resolves this through the V/TO's Marketing Strategy (defining the ideal client, the Three Uniques, and the proven process that justifies premium pricing) and the Scorecard (measuring business development activity as leading indicators — calls made, bids submitted, relationships maintained — so that pipeline health is visible weeks before it affects revenue).

Failure Mode 3: Margin Erosion

The third failure mode is systematic margin erosion — the gap between what you bid and what you actually make. For most contractors, this gap is attributed to external factors: the owner, the client, the subcontractors, the weather. In reality, it is almost always a process failure. Jobs are not tracked in real time. Change orders are not managed aggressively. Subcontractor performance is not monitored against commitments. The closeout process is not executed consistently. Retainage sits uncollected because nobody owns the collection process.

EOS resolves margin erosion through the Process component (documenting the billing, collections, and closeout processes to FBA standard), the Scorecard (tracking job cost variance weekly on every active project), and the Issues component (surfacing process failures as root-cause issues rather than as individual job post-mortems).

4.2 Scaling the ALP/EOS System as the Company Grows

The ALP/EOS framework scales with the business. As a contracting company grows from $5M to $50M and beyond, the specific content of the V/TO, the Scorecard metrics, the Accountability Chart seats, and the core processes will evolve — but the structure of the system remains constant. This consistency is what makes EOS a true operating system rather than a set of tools: it adapts to the current size and stage of the business without requiring the organization to learn a new framework every time it reaches a new level.

4.3 ALP/EOS and the Contractor Circle

The ALP Contractor Circle is the implementation community for the ALP/EOS system. Members work through the framework together, share Rocks and Scorecards in the bi-weekly calls, and leverage Marshall Wilkinson's construction-specific expertise to adapt the framework to the unique operational realities of contracting businesses.

The bi-weekly Zoom sessions are structured around the EOS framework: each session addresses one or more components in depth, includes real-world examples from member companies, and creates accountability for implementation progress. Members are expected to implement what they learn between sessions and to bring their Issues to the group for collective IDS.

PART FIVE: REFERENCE — TERMINOLOGY GLOSSARY

The following glossary defines every significant term used in the ALP/EOS framework. These definitions are the authoritative reference for ALP Contractor Circle members.

TERM	DEFINITION
Accountability Chart	A map of the seats (defined roles with specific accountabilities) in the organization, with names assigned to seats. Not an org chart — it shows accountability, not reporting hierarchy.
ALP/EOS	The ALP Contractor Circle's implementation of the Entrepreneurial Operating System, adapted with construction-specific content and methodology by Marshall Wilkinson.
Cascade Messages	Communications that flow from the leadership team's L10 meeting to the rest of the organization after each session. Ensures that decisions, To-Dos, and updates are communicated consistently.
Core Focus	The combination of a company's Purpose/Cause/Passion and its Niche — what it exists to do and the specific type of work, client, and geography it serves exclusively.
Core Values	The 3–7 non-negotiable behaviors and beliefs that define how a company operates and that are used as the standard for all hiring, firing, and performance evaluation decisions.
EOS	Entrepreneurial Operating System. The business operating framework created by Gino Wickman and detailed in Traction (2011).
FBA	Followed By All. The EOS standard for process adoption — a documented process that is followed consistently by every relevant person in the organization.
GWC™	Get It, Want It, Capacity to Do It. The three-part evaluation of whether a person is in the right seat. All three must be present for a person to be right-seated.
IDS	Identify, Discuss, Solve. The EOS three-step framework for resolving issues permanently. The standard process for the Issues List segment of the L10 meeting.
Integrator	The leadership team member responsible for running the day-to-day operations of the business, holding the team accountable, and executing the Visionary's vision. Often the GM, COO, or Operations Director.
Issues List	The ongoing repository of obstacles, problems, and questions facing the organization. Issues are resolved through the IDS process. Solved issues are permanently removed.
L10 / Level 10 Meeting	The weekly 90-minute leadership team meeting with a fixed seven-segment agenda. Named for the aspiration that every meeting should rate a 10 out of 10 for productivity.
Meeting Pulse	The structured rhythm of meetings in an EOS company: weekly L10s, quarterly planning sessions, and annual planning sessions.

TERM	DEFINITION
People Analyzer	The EOS evaluation tool that assesses each person against Core Values (using + / +/− / − ratings) and GWC (for their current seat).
Rock	A 90-day priority that is specific, measurable, assigned to a single owner, and due on the last day of the current quarter. Named after the Covey rocks-in-a-jar illustration.
Scorecard	The weekly one-page dashboard of 5–15 leading indicators, each with a weekly goal and a single owner, reviewed at the start of every L10 meeting.
Three Uniques	The three specific, honest differentiators that distinguish a company from all of its competitors — the core of the Marketing Strategy in the V/TO.
To-Do	A 7-day action item with a single owner, created during the L10 meeting. Distinct from a Rock (90-day priority) and a Core Process (ongoing business operation).
Visionary	The leadership team member responsible for the company's culture, key relationships, strategic vision, and major business development. Typically the founder or primary owner.
V/TO	Vision/Traction Organizer. The two-page document that captures all eight components of the company's Vision: Core Values, Core Focus, 10-Year Target, Marketing Strategy, 3-Year Picture, 1-Year Plan, Quarterly Rocks, and Issues List.

CLOSING — A WORD FROM MARSHALL WILKINSON

I have spent over two decades working inside the construction industry — not as an observer, but as a practitioner, a consultant, and a builder. I have watched technically excellent contractors build and lose companies. I have seen brilliant estimators fail as business owners. I have watched great relationships fail to save businesses that had no systems.

The common thread in every contractor who hit a ceiling and could not break through it was not a lack of skill, work ethic, or desire. It was a lack of business infrastructure. They were building projects without building a company.

ALP/EOS is the business infrastructure. It is not theory. It is the specific, practical, repeatable set of tools and disciplines that transform a contractor from an owner who runs a business to an owner who has built one — a business that runs itself at a standard of quality, consistency, and profitability that does not depend on the owner being present for every decision.

The contractors in this circle have already demonstrated the most important quality: they stepped in before there was proof. They committed to building the company — not just building projects. That decision is the foundation of everything that follows.

Build the business. Then let the business build you.

— Marshall Wilkinson, ALP Contractor Circle